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SLIATE

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SRI LANKA INSTITUTE OF ADVANCED TECHNOLOGICAL EDUCATION

(Established in the Ministry of Higher Education, vide in Act No. 29 of 1995)

Higher National Diploma in Quantity Surveying

Second Year, Second Semester Examination – 2022

QS 22063- Accounting and Finance for Quantity Surveying Profession

Instructions for Candidates:

Answer five questions including question 1 & 2

No. of questions: 06

No. of pages :07

Time: **Three (03) Hours**

Question No 01

The trail balance was extracted from Regan traders as at 31 March 2022 is given below:

Description	Debit Rs 000	Credit Rs 000
Land	10000	
Building	30000	
Motor vehicle	17500	
Accumulated depreciation 01.04.2021		
Building		1670
Machinery		1250
Sales		384200
Purchase	250150	
Inventory as 01.04.2021	50000	
Electricity	12900	
Salaries and wages	58600	
Rent	13450	
Telephone	6500	
Advertising	7000	
Discount allowed/Discount received	2000	4800
Cash	118000	

Capital		103280
Trade receivable	20300	
Trade payable		11800
Bad debts	200	
20% Bank loan		100000
Bank loan interest paid	9000	
Sales return/purchase return	200	150
Carriage outwards	1350	
Total	**607150**	**607150**

Additional information:

i. The closing inventory as at 31st March 2022 was valued at cost of Rs.40, 000,000.

ii. Depreciation for the year ended 31st March 2022 are as follows:

   a. Building: 10% per annum on cost.

   b. Motor vehicle Machinery 20% per annum using the reducing balance method.

iii. 300,000 has to be written off as bad debt.

iv. Accrued electricity and rent are Rs 100,000 and Rs 550,000 respectively as on 31.03.2022.

v. Prepaid salaries and wages Rs 600,000 as at 31st March 2022.

You are required to prepare the following:

(a) Statement of Comprehensive Income for the year ended 31st March 2022.

(b) Statement of Financial Position as at 31st March 2022.

(Total 25 marks)

Question No 02

i. Name two users of accounting information. (02 Marks)

ii. The following transactions were extracted from the Raminthu business for the month of June 2022.

   a. 01.06.2022 Owner started the business with initial capital Rs 800,000.

   b. 09.06.2022 Purchasing from Mr Kumara Rs 25,000.

   c. 17.06.2022 Credit sales to Mr Suren Rs 50,000.

   d. 20.06.2022 Paying Rs 5,000 Mr Kumara.

e. 28.06.2022 Paid electricity bill Rs 7,200.

Identify the debit and credit entries on above transactions.

(05 Marks)

iii. Show the effect of the following transactions upon the given accounting equation.

Assets= Capital + Liability

a. 01.01.2022 Mr. Gowtham started business with cash Rs. 1,50,000.
b. 03.01.2022 Bought goods on credit from X, Cost Rs 80,000.
c. 08.01.2022 Paid wages Rs 40,000.
d. 12.01.2022 Selling Rs 250,000 costed of inventory for Rs 320,000.
e. 14.01.2022 Sold Rs 11,800 worth of goods to Mr Nimal.
f. 20.02.2022 Paid to Mr X 78,000 as full settlement.
g. 24.01.2022 Received Rs 5,250 from Nimal.
h. 28.01.2022 Owner has taken Rs 10,000 from the business for his personal use.

(08 Marks)

(Total 15 Marks)

Question No 03

i. Differentiate the term financial accounting and cost accounting. (03 Marks)

ii. Kaizan PLC has two production departments (A and B) and two service departments (Maintenance and stores). Details of overheads are given below.

Heat and light -Rs 30,000
Supervision – Rs 9,600
Machinery depreciation Rs 50,000
Rent and rates Rs 45,000
Machinery insurance Rs 25,000

Details of each department are as follows:

Particulars	A	B	Maintenance	Stores	Total
Floor Area square feet	6,000	4,000	3,000	2,000	15,000
Machinery value	30,000	15,000	-	5,000	50,000
Number of employees	50	40	20	10	120

Required: Demonstrate how overheads should be apportioned between the four departments.

(05 Marks)

iii. The following information were extracted from the Medland enterprises.

Description	31/12/2021	31/12/2022
Sales	540,000	800,000
Cost of sales	100,000	220,000
Net profit	90,000	140,000
Cash	97,000	22,200
Debtors	43,000	72,100
Inventory	18,000	44,000
Prepayment	1,800	7,000
Creditors	58,000	67,000
Purchase	50,000	170,000

Assumption: All sales and purchases are on credit terms.

Calculate the following ratios for the year ended 31/12/2022.

a) Net Profit Ratio
b) Current Ratio
c) Quick Assets Ratio
d) Inventory Turnover Ratio
e) Debtors Collection period
f) Creditors Settlement period

(12 Marks)

(Total 20 Marks)

Question No 04

i. Define the term fixed production overheads. (02 Marks)

ii. XY Ltd. uses EOQ logic to determine the order quantity for its various components and is planning its orders. The Annual consumption is 60,000 units, Cost to place one order is Rs. 1,500, Cost per unit is Rs.100 and carrying cost is 5% of Unit cost.

(a) EOQ (Economic Order Quantity)

(b) Number of orders per year

(c) Ordering cost (06 Marks)

iii. Prepare Store Ledger Card form the following information.

1st January	- Opening Stock 400 units @ Rs. 30
5th January	- Purchases 200 units @ Rs. 25
12th January	- Sales 325 units
17th January	- Purchases 150 Units @ Rs. 25
20th January	- Purchases 100 units @ Rs. 32
30th January	- Sales 300 units

You are required to determine the Cost of Sales, and cost of Closing Stock under each of the following methods:

a) LIFO

b) Weighted Average

(12 Marks)

(Total 20 Marks)

Question No 05

i. A firm manufactured product Y whose selling price is Rs 10 per year. The firm has the capacity to produce 10000 units. The variable costs are Rs 2.50 per unit. Fixed costs are estimated at Rs 30,000.

(a) Contribution per unit

(b) Contribution to sales ratio

(c) Break Even point in units

(d) How many units will need to be sold to achieve the profit of Rs 18,000?

(e) Assume that selling price is reduced to Rs 8.50 per unit and sales will go up 10000 units. Calculate the profit.

(10 Marks)

ii. The following particulars are given in respect of two projects X and Y. The cost o capital is 10%.

Year	Project X	Project Y	10%
0	(100,000)	(100,000)	1
1	10,000	70,000	0.909
2	10,000	40,000	0.826
3	25,000	12,000	0.751
4	15,000	20,000	0.683
5	40,000	10,000	0.621
6	32,000	28,000	0.564

Calculate the followings:

a) Payback period

b) Accounting Rate of Return (ARR)

c) Net Present Value (NPV)

d) Advise the company which project is best based on the NPV.

(10 Marks)

(Total 20 Marks)

Question No 06

i. Define the term budget.

(02 Marks)

ii. You are presented with the budget shown for the period January to June by AB Ltd. It has been extracted from the other functional budgets that have been prepared.

Month	January	February	March	April	May	June
Sales	110,000	130,000	140,000	150,000	160,000	180,000
Purchases	50,000	40,000	10,000	30,000	40,000	50,000
Wages	16,000	20,000	24,000	24,000	28,000	30,000

Overheads	10,000	10,000	15,000	15,000	10,000	10,000
Dividends		5,000		10,000		
Capital expenditure	10,000			40,000		

Additional information:

a. Sales are 40% in cash. credit sales will be collected after two months.
b. Purchases will be paid in the following month.
c. 75% of wages are paid in the current month and balance in the following month.
d. Overheads are paid in the following month.
e. Dividend will be paid in the following month after the declaration.
f. Capital expenditure is paid two months after it is incurred.
g. The cash balance is Rs 450,000 as on 1st of January.

You are required to prepare the cash budget for the month of January to June.

(18 Marks

(Total 20 Mark